

Amendment No. 1 to HB2178

Vaughan
Signature of Sponsor

AMEND Senate Bill No. 2316

House Bill No. 2178*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 4-14-203, is amended by deleting the section and substituting:

(a) Effective July 1, 2026, the Tennessee technology development corporation is vacated and reconstituted in accordance with subsections (b) through (l).

(b) A fifteen-member board of directors shall govern the corporation.

(c) Ten (10) members of the board of directors shall represent and be appointed from the private sector, as follows:

(1) The governor shall appoint two (2) private sector representatives;

(2) The speaker of the house of representatives shall appoint one (1) private sector representative;

(3) The speaker of the senate shall appoint one (1) private sector representative; and

(4) The board of directors' nominating committee shall nominate six (6) representatives from the private sector to serve on the board. Each of the nominees must be approved by a majority vote of the board of directors.

(d) Four (4) members of the board of directors shall represent and be appointed from the public sector, as follows:

(1) The governor shall appoint two (2) public sector representatives, one (1) of whom shall be selected from lists of qualified persons submitted by interested municipal and county organizations, including, but not limited to, the

Tennessee municipal league and the Tennessee county services association.

The governor shall consult with such interested organizations in making the appointment;

(2) The speaker of the house of representatives shall appoint one (1) public sector representative; and

(3) The speaker of the senate shall appoint one (1) public sector representative.

(e) The commissioner of economic and community development shall serve as an ex officio member of the board of directors.

(f) In making appointments to the board of directors, the appointing authorities shall strive to ensure that the board is equally represented by persons from each of the three (3) grand divisions of this state.

(g)

(1)

(A) One (1) representative of the private sector and one (1) representative of the public sector appointed by the governor shall each serve initial terms of three (3) years.

(B) The representative of the private sector appointed by the speaker of the house of representatives shall serve an initial term of three (3) years.

(C) The representative of the private sector appointed by the speaker of the senate shall serve an initial term of three (3) years.

(D) Three (3) representatives of the private sector appointed by the board of directors in accordance with subdivision (c)(4) shall serve initial terms of three (3) years.

(2)

(A) One (1) representative of the private sector and one (1) representative of the public sector appointed by the governor shall each serve initial terms of four (4) years.

(B) The representative of the public sector appointed by the speaker of the house of representatives shall serve an initial term of four (4) years.

(C) The representative of the public sector appointed by the speaker of the senate shall serve an initial term of four (4) years.

(D) Three (3) representatives of the private sector appointed by the board of directors in accordance with subdivision (c)(4) shall serve initial terms of four (4) years.

(3) After the initial appointments under subdivisions (g)(1) and (2) expire, all terms are for four (4) years, which begin on July 1 and expire on June 30 of each applicable year.

(4) Board members are eligible to serve successive terms if reappointed by the original authority.

(h) The board of directors shall elect a chair, vice chair, secretary, and such other officers as it deems necessary from among its members.

(i) The board of directors shall appoint an executive committee of five (5) of its members to administer the day-to-day operations of the corporation. The chair of the corporation shall also serve as the chair of the executive committee.

(j) The board of directors shall meet four (4) times in a calendar year, with members convening in person for at least one (1) of the meetings. The executive committee shall meet as needed.

(k) The board of directors shall adopt and implement a conflict of interest policy for board members. The policy must mandate annual written disclosures of financial interests, other possible conflicts of interest, and an acknowledgement by board

members that they have read and understand all aspects of the policy. The policy must also require persons who are to be appointed to the board of directors to acknowledge, as a condition of appointment, that they are not in conflict with the conditions of the policy.

SECTION 2. Tennessee Code Annotated, Section 4-29-248(a), is amended by deleting subdivision (57).

SECTION 3. Tennessee Code Annotated, Section 4-29-249(a), is amended by inserting the following as a new subdivision:

() Tennessee technology development corporation, created by § 4-14-201;

SECTION 4. This act takes effect upon becoming a law, the public welfare requiring it.